GCE (2368.TW)

GM expansion on the way with new AI project ramps in 4Q26-4Q27, despite increasing competition in the AI PCB market; Buy

2368.TW	12m Price Target: **NT$1,660.00**	Price: **NT$983.00**	Upside: **68.9%**

GCE's 3Q26 core business (OPI) was 6%/1% below GSe/BBG consensus due mainly to **(1) key AI customer's product transition period (revenue in 3Q was 4/3% lower than GSe/BBG consensus)**, and **(2) the increasing investment in R&D to improve its production capability on AI HDI and N+M MLB products)**, despite the much stronger than expected GM (0.8/1.8ppt higher than GSe/BBG consensus). For the net income in 3Q26, it was 5% below our bullish estimate, resulting from the weaker than expected operating profit, but it was 3% higher than BBG consensus, thanks to the lower than expected tax rate resulting from the increasing profit contribution from the low tax rate Thailand plant (tax rate was only at 25% in 3Q26 vs. BBG consensus at ~30%).

For 4Q26, **we expect the company's revenue to grow by 7% QoQ**, due to ongoing key AI customers' product transition, and the fewer working days due to the holiday season. **We expect GCE's GM will further expand to 39.2% (up 0.5ppt QoQ or 5.5ppt YoY)** thanks to the better product mix (high-end networking demand should ramp up more significantly from 4Q26, per GSe), despite the increasing cost from high-end CCL (see here).

Investment view - GCE will continue to deliver a better margin profile with expanding market share in AI ASIC market

We continue to expect GCE will hold the major share for Trainium 3 (70%+ from 3Q26), and see an even better market share in the next generation Trainium 4 products (as key competitors are all unable to support high-end AI HDI products) after the company ramps up its AI HDI production yield rate. We also expect the company to start supplying the new TPU v8 PCB products, which should meaningfully improve the company's market share in coming quarters (from <5% in 2026 to 20-30%+ in 2027), suggesting an even better GM outlook in the foreseeable future.

On the other hand, the company will only expand its capacity

BUY

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Key Data

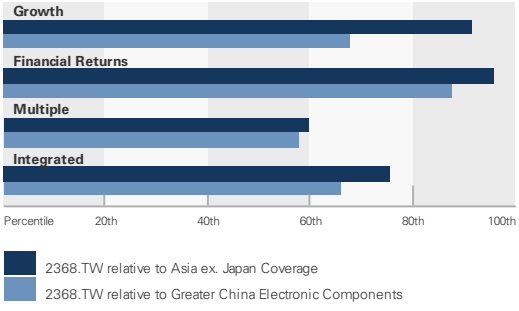
Market cap: NT$531.6bn / $16.1bn
Enterprise value: NT$541.3bn / $16.4bn
3m ADTV: NT$11.2bn / $348.5mn
Taiwan
Greater China Electronic Components
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn) New	**60,003.8**	**104,784.9**	**185,899.4**	**255,395.4**
Revenue (NT$ mn) Old	60,003.8	112,103.0	197,073.8	269,434.4
EBITDA (NT$ mn)	15,359.3	31,678.1	65,960.0	93,157.9
EPS (NT$) New	**19.48**	**42.36**	**83.62**	**127.36**
EPS (NT$) Old	19.48	46.54	90.00	135.45
P/E (X)	18.0	23.2	11.8	7.7
P/B (X)	5.3	11.4	7.7	5.2
Dividend yield (%)	2.9	2.2	4.3	6.5
CROCI (%)	31.9	35.8	48.6	54.0

	9/26	12/26E	3/27E	6/27E
EPS (NT$)	12.27	13.95	13.83	18.08

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

GCE (2368.TW)

Rating since Nov 13, 2023

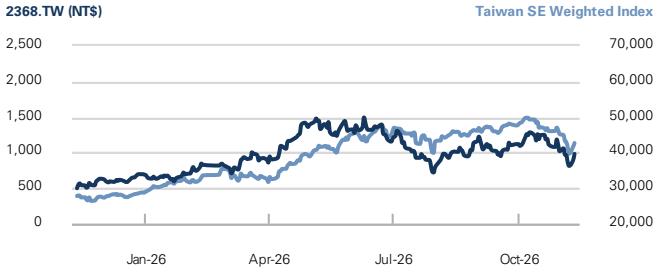
Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	18.0	23.2	11.8	7.7
P/B (X)	5.3	11.4	7.7	5.2
FCF yield (%)	(2.6)	(1.0)	0.0	4.6
EV/EBITDAR (X)	11.3	16.4	8.1	5.7
EV/EBITDA (excl. leases) (X)	11.3	16.4	8.1	5.7
CROCI (%)	31.9	35.8	48.6	54.0
ROE (%)	35.1	56.3	78.7	80.1
Net debt/equity (%)	(0.4)	22.0	31.0	18.8
Net debt/equity (excl. leases) (%)	(0.4)	22.0	31.0	18.8
Interest cover (X)	51.5	66.5	116.4	141.9
Days inventory outst, sales	53.7	38.3	31.9	34.0
Receivable days	124.9	102.6	86.0	95.0
Days payable outstanding	87.3	70.6	64.2	69.6
DuPont ROE (%)	28.7	49.3	65.7	66.7
Turnover (X)	0.8	1.1	1.3	1.3
Leverage (X)	2.3	2.2	2.2	2.0
Gross cash invested (ex cash) (NT$)	53,996.0	76,356.2	110,589.9	143,896.0
Average capital employed (NT$)	26,369.3	43,783.2	70,460.7	102,373.0
BVPS (NT$)	65.58	85.90	127.19	190.87

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	54.0	74.6	77.4	37.4
EBITDA growth	67.8	106.2	108.2	41.2
EPS growth	68.9	117.4	97.4	52.3
DPS growth	66.7	111.8	97.4	52.3
EBIT margin	23.4	28.8	34.6	35.7
EBITDA margin	25.6	30.2	35.5	36.5
Net income margin	16.0	20.9	23.4	26.0

Price Performance



	3m	6m	12m
Absolute	6.2%	(26.1)%	103.9%
Rel. to the Taiwan SE Weighted Index	11.7%	(28.0)%	33.1%

Source: FactSet. Price as of 10 Nov 2026 close.

Income Statement (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	60,003.8	104,784.9	185,899.4	255,395.4
Cost of goods sold	(40,321.0)	(65,798.8)	(108,596.2)	(146,829.2)
SG&A	(4,383.1)	(6,356.2)	(9,284.1)	(12,796.2)
R&D	(1,256.4)	(2,460.4)	(3,789.3)	(4,597.1)
Other operating inc./(exp.)	–	–	–	–
EBITDA	**15,359.3**	**31,678.1**	**65,960.0**	**93,157.9**
Depreciation & amortization	(1,316.1)	(1,508.7)	(1,730.2)	(1,985.0)
EBIT	**14,043.2**	**30,169.4**	**64,229.8**	**91,173.0**
Net interest inc./(exp.)	0.9	116.6	(258.8)	(522.4)
Income/(loss) from associates	–	–	–	–
Pre-tax profit	**14,173.3**	**29,716.3**	**59,729.8**	**90,723.0**
Provision for taxes	(4,566.8)	(7,800.7)	(16,204.8)	(24,436.0)
Minority interest	–	–	–	–
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**9,606.5**	**21,915.6**	**43,525.0**	**66,286.9**
Post-tax exceptionals	–	–	–	–
Net inc. (post-exceptionals)	**9,606.5**	**21,915.6**	**43,525.0**	**66,286.9**
EPS (basic, pre-except) (NT$)	**19.48**	**42.36**	**83.62**	**127.36**
EPS (diluted, pre-except) (NT$)	**19.48**	**42.36**	**83.62**	**127.36**
EPS (basic, post-except) (NT$)	**19.48**	**42.36**	**83.62**	**127.36**
EPS (diluted, post-except) (NT$)	**19.48**	**42.36**	**83.62**	**127.36**
DPS (NT$)	10.00	21.18	41.81	63.68
Div. payout ratio (%)	51.3	50.0	50.0	50.0

Balance Sheet (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	18,114.5	9,435.8	3,909.8	10,947.1
Accounts receivable	27,309.7	31,579.0	56,024.5	76,968.5
Inventory	9,747.1	12,258.4	20,231.6	27,354.5
Other current assets	1,166.2	1,166.2	1,166.2	1,166.2
Total current assets	**56,337.5**	**54,439.4**	**81,332.0**	**116,436.3**
Net PP&E	17,840.3	41,363.5	61,665.1	84,712.0
Net intangibles	77.6	45.7	13.9	(18.0)
Total investments	851.3	851.3	851.3	851.3
Other long-term assets	639.7	639.7	639.7	639.7
Total assets	**75,746.3**	**97,339.6**	**144,502.0**	**202,621.3**
Accounts payable	11,028.5	14,421.7	23,801.9	32,181.7
Short-term debt	6,115.9	6,330.9	6,545.9	6,760.9
Short-term lease liabilities	–	–	–	–
Other current liabilities	10,409.4	16,436.7	27,241.4	38,622.4
Total current liabilities	**27,553.8**	**37,189.3**	**57,589.2**	**77,565.0**
Long-term debt	11,874.9	12,874.9	17,874.9	22,874.9
Long-term lease liabilities	–	–	–	–
Other long-term liabilities	2,836.5	2,836.5	2,836.5	2,836.5
Total long-term liabilities	**14,711.4**	**15,711.4**	**20,711.4**	**25,711.4**
Total liabilities	**42,265.2**	**52,900.7**	**78,300.6**	**103,276.4**
Preferred shares	–	–	–	–
Total common equity	33,481.2	44,439.0	66,201.5	99,344.9
Minority interest	**--**	**--**	**--**	**--**
Total liabilities & equity	**75,746.3**	**97,339.6**	**144,502.0**	**202,621.3**
Net debt, adjusted	(123.7)	9,770.0	20,511.0	18,688.7

Cash Flow (NT$ mn)

	12/25	12/26E	12/27E	12/28E
Net income	9,606.5	21,915.6	43,525.0	66,286.9
D&A add-back	1,316.1	1,508.7	1,730.2	1,985.0
Minority interest add-back	–	–	–	–
Net (inc)/dec working capital	(12,581.2)	(3,387.5)	(23,038.4)	(19,687.0)
Other operating cash flow	3,917.4	–	–	–
Cash flow from operations	**2,258.8**	**20,036.9**	**22,216.8**	**48,584.8**
Capital expenditures	(6,733.3)	(25,000.0)	(22,000.0)	(25,000.0)
Acquisitions	(261.8)	–	–	–
Divestitures	–	–	–	–
Others	(38.1)	–	–	–
Cash flow from investing	**(7,033.3)**	**(25,000.0)**	**(22,000.0)**	**(25,000.0)**
Repayment of lease liabilities	–	–	–	–
Dividends paid (common & pref)	(2,920.1)	(4,930.5)	(10,957.8)	(21,762.5)
Inc/(dec) in debt	8,924.0	1,215.0	5,215.0	5,215.0
Other financing cash flows	7,700.5	0.0	0.0	0.0
Cash flow from financing	**13,704.4**	**(3,715.5)**	**(5,742.8)**	**(16,547.5)**
Total cash flow	**8,929.9**	**(8,678.7)**	**(5,526.0)**	**7,037.4**
Free cash flow	(4,474.5)	(4,963.1)	216.8	23,584.8

Source: Company data, Goldman Sachs Research estimates.

volume by ~20% in 2027, without considering the product mix improvement/ASP hike (we believe after considering the better ASP for next-gen AI products, the company's capacity value should go up by 35%+ YoY in 2027), while we believe the AI PCB volume/area demand should at least increase by 50% YoY, implying a potential market share loss in coming quarters. We note Greater China peers are also expanding capacity in SEA regions to try to penetrate into GCE's key AI ASIC markets, implying increasing competition in coming quarters, which could lead to less favorable ASP in the long term, despite no significant impact for now. However, considering GCE's best in class AI PCB production technology and its proactive investment in the high-end PCB R&D for more than 10 years, as well as the company's first mover advantage in the SEA PCB market, we expect GCE will continue to have opportunities to expand its business in the most high-end PCB market, suggesting a good GM outlook in the long term.

Maintain Buy on GCE, with a new 12-m TP of NT$1,660 (from NT$1,800).

Exhibit 1: GCE's 3Q26 result comp table

GCE (2368.TW)	3Q26			QoQ		YoY		Bloomberg consensus	
P&L (NT$mn)	Actual	GS est.	Diff (%)	2Q26	QoQ	3Q25	YoY	Consensus	%
Revenue	29,568	30,645	-4%	24,279	22%	17,680	67%	30,599	-3%
Gross profits	11,443	11,624	-2%	8,413	36%	6,288	82%	11,276	1%
Operating profits	8,753	9,295	-6%	6,418	36%	4,647	88%	8,830	-1%
Pre-tax income	8,515	9,295	-8%	6,299	35%	4,730	80%	8,790	-3%
Net earnings	6,386	6,693	-5%	4,783	33%	3,229	98%	6,205	3%
EPS, NT$	12.27	12.97	-5%	9.27	32%	6.53	88%	12.35	-1%
Gross margin (%)	38.7%	37.9%	0.8ppt	34.7%	4.0ppt	35.6%	3.1ppt	36.9%	1.8ppt
EBIT margin (%)	29.6%	30.3%	-0.7ppt	26.4%	3.2ppt	26.3%	3.3ppt	28.9%	0.7ppt
Net margin (%)	21.6%	21.8%	-0.2ppt	19.7%	1.9ppt	18.3%	3.3ppt	20.3%	1.3ppt

Source: Company data, Bloomberg, Goldman Sachs Global Investment Research

Earning and TP revision

Earnings revision

We revise down our 2026/27/28E net income estimate by 9%/6%/5% to factor in the potential slower pricing hike outlook in the PCB industry, considering the increasing competition in the AI PCB industry (cut 2026/27/28E revenue estimate by 7/6/5%). Moreover, we believe GCE will need to invest more in R&D projects in the coming quarters to improve its HDI production capability, and expect the N+M PCB R&D investment will also drive OPEX in coming years, considering the increasing adoption rate from 1H27 (revise up 2027 OPEX to sales ratio by 0.3ppt).

Exhibit 2: Earnings revision table

GCE P&L (NT$ mn)	2026E New	2026E Old	Diff.	2027E New	2027E Old	Diff.	2028E New	2028E Old	Diff.
Sales	104,785	112,103	-7%	185,899	197,074	-6%	255,395	269,434	-5%
Gross Profit	38,986	41,753	-7%	77,303	81,618	-5%	108,566	114,455	-5%
EBIT	30,169	33,050	-9%	64,230	68,228	-6%	91,173	96,106	-5%
Net Income	21,916	23,953	-9%	43,525	46,442	-6%	66,287	69,891	-5%
EPS (NT$)	**42.36**	**46.54**	**-9%**	**83.62**	**90.00**	**-7%**	**127.36**	**135.45**	**-6%**
Ratio analysis									
Gross margin	37.2%	37.2%	0.0pp	41.6%	41.4%	0.2pp	42.5%	42.5%	0.0pp
EBIT margin	28.8%	29.5%	-0.7pp	34.6%	34.6%	-0.1pp	35.7%	35.7%	0.0pp
Net margin	20.9%	21.4%	-0.5pp	23.4%	23.6%	-0.2pp	26.0%	25.9%	0.0pp

Source: Goldman Sachs Global Investment Research

TP revision

Maintain Buy with a new 12-m TP of NT$1,660 (from NT$1,800), based on 15x P/E (down from 20x previously, still in line with AI PCB peers' average valuation); we also rollover our valuation base from 2027E to 2H27-1H28E, and factor in our earnings revision.

Exhibit 3: GCE P&L table

NT$mn	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	2024	2025	2026E	2027E	2028E
Revenue	19,313	24,279	29,568	31,625	33,940	42,727	51,257	57,975	58,054	62,583	64,375	70,384	38,952	60,004	104,785	185,899	255,395
Gross profit	6,722	8,413	11,443	12,407	13,781	17,653	21,345	24,524	24,486	26,710	27,429	29,941	11,396	19,683	38,986	77,303	108,566
Operating expense	(1,538)	(1,996)	(2,690)	(2,593)	(2,552)	(3,085)	(3,598)	(3,838)	(4,075)	(4,268)	(4,390)	(4,659)	(3,329)	(5,640)	(8,817)	(13,073)	(17,393)
Operating income	5,185	6,418	8,753	9,814	11,229	14,568	17,747	20,686	20,411	22,442	23,038	25,282	8,067	14,043	30,169	64,230	91,173
Pretax income	5,088	6,299	8,515	9,814	9,729	13,068	16,247	20,686	19,961	22,442	23,038	25,282	8,490	14,173	29,716	59,730	90,723
Taxes expense	(1,604)	(1,516)	(2,129)	(2,552)	(2,529)	(3,659)	(4,224)	(5,792)	(5,589)	(6,284)	(5,990)	(6,573)	(2,875)	(4,567)	(7,801)	(16,205)	(24,436)
Net income	3,484	4,783	6,386	7,262	7,199	9,409	12,022	14,894	14,372	16,158	17,048	18,709	5,616	9,607	21,916	43,525	66,287
EPS, NT$	**6.87**	**9.27**	**12.27**	**13.95**	**13.83**	**18.08**	**23.10**	**28.62**	**27.61**	**31.05**	**32.75**	**35.95**	**11.54**	**19.48**	**42.36**	**83.62**	**127.36**
Ratio analysis and assumption																	
As % of sales																	
Gross margin	34.8%	34.7%	38.7%	39.2%	40.6%	41.3%	41.6%	42.3%	42.2%	42.7%	42.6%	42.5%	29.3%	32.8%	37.2%	41.6%	42.5%
Operating expense ratio	8.0%	8.2%	9.1%	8.2%	7.5%	7.2%	7.0%	6.6%	7.0%	6.8%	6.8%	6.6%	8.5%	9.4%	8.4%	7.0%	6.8%
Operating margin	26.8%	26.4%	29.6%	31.0%	33.1%	34.1%	34.6%	35.7%	35.2%	35.9%	35.8%	35.9%	20.7%	23.4%	28.8%	34.6%	35.7%
Net margin	18.0%	19.7%	21.6%	23.0%	21.2%	22.0%	23.5%	25.7%	24.8%	25.8%	26.5%	26.6%	14.4%	16.0%	20.9%	23.4%	26.0%
QoQ growth (%)																	
Revenue	17.7%	25.7%	21.8%	7.0%	7.3%	25.9%	20.0%	13.1%	0.1%	7.8%	2.9%	9.3%	-	-	-	-	-
Gross profit	21.7%	25.2%	36.0%	8.4%	11.1%	28.1%	20.9%	14.9%	-0.2%	9.1%	2.7%	9.2%	-	-	-	-	-
Operating income	30.1%	23.8%	36.4%	12.1%	14.4%	29.7%	21.8%	16.6%	-1.3%	10.0%	2.7%	9.7%	-	-	-	-	-
Net income	18.9%	37.3%	33.5%	13.7%	-0.9%	30.7%	27.8%	23.9%	-3.5%	12.4%	5.5%	9.7%	-	-	-	-	-
YoY growth (%)																	
Revenue	60.1%	75.3%	67.2%	92.7%	75.7%	76.0%	73.4%	83.3%	71.0%	46.5%	25.6%	21.4%	30%	54%	75%	77%	37%
Gross profit	78.0%	105.4%	82.0%	124.6%	105.0%	109.8%	86.5%	97.7%	77.7%	51.3%	28.5%	22.1%	48%	73%	98%	98%	40%
Operating income	103.8%	123.8%	88.4%	146.2%	116.6%	127.0%	102.7%	110.8%	81.8%	54.0%	29.8%	22.2%	57%	74%	115%	113%	42%
Net income	98.7%	182.4%	97.8%	147.9%	106.7%	96.7%	88.3%	105.1%	99.6%	71.7%	41.8%	25.6%	59%	71%	128%	99%	52%

Source: Company data, Goldman Sachs Global Investment Research

Investment thesis and Valuation & Risks

GCE is a key cloud (server+switch) PCB supplier globally with 20%+ market share in 2022. We expect cloud PCB market demand to grow at a 15% 2024-26E CAGR (far stronger than the overall RPCB+HDI market demand growth rate at 5% 2024-26E CAGR). We believe GCE's proactive capacity expansion plan (33% in 2026) and high annualized ROI (300%+) will continue to drive the company's revenue/margin level in the coming quarters/years. Additionally, we believe GCE can continue to see strong demand from the increasing content per server/switch, as we expect both markets to see a 20-50%+ layer count increase after the generation upgrade (upgrade to 400G/Eagle Stream). We are constructive on GCE's long-term growth opportunity given its solid position in the rapidly growing cloud PCB market, and we are Buy rated on the stock. GCE is trading higher than its historical P/E average level driven by strong AI server demand, but lower than the TW AI server players' average.

Price Target Risks and Methodology

Valuation methodology: Our 12m TP of NT$1,660 is based on a 15x 2H27-1H28E P/E (in line with AI PCB peers average valuation).

Key downside risks: (1) weaker-than-expected AI server market demand; (2) delays in the company's Nvidia OAM/UBB product qualification, (3) weaker-than-expected HDI demand, and (4) higher-than-expected ramp up cost for new capacity

Disclosure Appendix

Reg AC

I, Chao Wang, hereby certify that all of the views expressed in this report accurately reflect my personal views about the subject company or companies and its or their securities. I also certify that no part of my compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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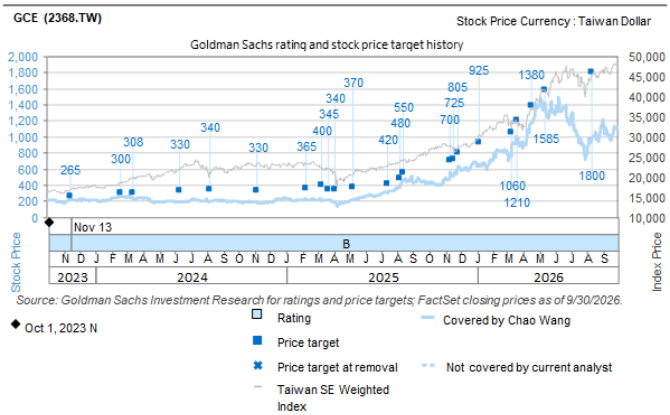
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Goldman Sachs Investment Research global Equity coverage universe

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Target price history table(s)
GCE (2368.TW)

Date of report	Target price (NT$)	Closing price (NT$)
11-Aug-26	1,800.00	964.00
13-May-26	1,585.00	1,350.00
17-Apr-26	1,380.00	1,175.00
20-Mar-26	1,210.00	988.00
10-Mar-26	1,060.00	817.00
06-Jan-26	925.00	662.00
26-Nov-25	805.00	610.00
19-Nov-25	725.00	522.00
11-Nov-25	700.00	498.50
13-Aug-25	550.00	460.00
07-Aug-25	480.00	372.00
15-Jul-25	420.00	320.00
09-May-25	370.00	226.00
06-Apr-25	340.00	195.00
24-Mar-25	345.00	214.00
11-Mar-25	400.00	209.00
09-Feb-25	365.00	228.00
07-Nov-24	330.00	188.50
07-Aug-24	340.00	207.00
11-Jun-24	330.00	187.50
12-Mar-24	308.00	242.50
18-Feb-24	300.00	275.00
13-Nov-23	265.00	217.00

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